

WASTE CONNECTIONS, INC. (NYSE / TSX: WCN)

Best-in-Class Margins at a Bond-Price Multiple Downgrading to SELL

Equity Research Note · Industrials — Environmental & Facilities Services · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
SELL	\$78	\$153.82 Oct 2, 2026	-49.3%	Medium Beta ~0.45

Snapshot			
Market cap	~\$38.7 bn	Shares outstanding	~251.6 mn
Enterprise value	~\$47.9 bn	52-week range (NYSE)	\$146.89 – \$179.74
Net debt / leverage	~\$9.2 bn / 2.75x	YTD / 1-yr return	–12.3% / –12.2%
2026E revenue (guide)	~\$10.04 bn (+6.0%)	2026E adj. EBITDA (guide)	~\$3.34 bn (33.2%)
2026E adj. FCF (guide)	\$1.40–1.45 bn	Dividend / yield	\$1.40 / 0.9%
Next catalyst	Q3'26 earnings, ~Oct 28	Analyst consensus	Moderate Buy; avg PT ~\$201

This note is independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from Waste Connections' SEC filings (10-K FY2025) and earnings releases, its public investor materials, and reputable financial press as of October 1, 2026. Projections and the price target are the author's estimates.

1 Investment Thesis

Waste Connections is the **highest-margin operator in North American solid waste** — 33.0% adjusted EBITDA margins in 2025, guiding to 33.2% in 2026, with pricing power that has survived volume declines for a decade. The business is superb. This note downgrades it anyway — because the debate is no longer about the business. It is about the **discount rate**.

The prior note's \$200 target rested on bond-like math: a 6.25% WACC built on a 4.3% risk-free rate, pricing the equity like a utility bond. That world is gone. With the 10-year at ~5.25%, the hardened model prices WCN the way the market prices every other industrial: **11.5% / 9% / 8% scenario discounts**. At 9%, even our base case — 4.77% ten-year revenue CAGR, terminal EBITDA margins at 34%, free cash flow more than doubling to \$2.68B by 2036 — is worth **\$82**. The hardened reverse-DCF shows the market prices an **11.6% flat ten-year FCF CAGR**: between our base and bull cases, against a 5.25% 10-year. Even our bull case (\$131) sits 15% below the quote.

We set our **\$78 target** at the hardened probability-weighted DCF (25/50/25) — **SELL, Medium risk**. The bear (\$16) is a genuine recession-and-regulation case: volumes collapse, M&A stalls, PFAS capex bites, and the terminal derates. The falsification, in writing: this call is a rate call as much as a stock call. **If the 10-year durably falls toward ~2.5%, the old bond-like math reasserts, the 6.25% WACC is right again, and this SELL is wrong**. Until then, we would be sellers of one of the best businesses in the market — because the price already assumes it.

Why own it

The best margins in the industry, by design. 33.0% adjusted EBITDA margin vs. WM ~31% and RSG ~32% — earned through exclusive-franchise secondary markets, rising vertical integration, and a decentralized operating model, not one-time items. Margins expanded 100 bps ex-commodities in 2025.

Pricing power that survives volume declines. Core price of 5.6–6.0% has more than offset –1.5–2.0% unit volumes for years. Contracts carry CPI/fuel escalators; franchise rates are set for 7+ years. This is a price-setter, not a price-taker.

A proven M&A compounding record. 19 deals / \$967M of acquired revenue in 2025; 24 deals / \$2.23B in 2024. Tuck-in acquisitions are the growth algorithm — and the pipeline is cited as strong again.

A free growth kicker: renewable natural gas. 15 pipeline-quality RNG projects plus over a dozen in development; the \$100M Ridge Landfill project (with Enbridge) opened June 30, 2026, with management guiding to 'significant EBITDA' by 2027. RINs near \$2.40 make the economics compelling.

Shareholder returns are accelerating. A record \$839M returned in 2025, \$614.5M of buybacks (~1.5% of shares) in H1 2026 alone, and a dividend raised every year since 2010 (+11.1% last October).

Why the market is nervous — and what we watch

The discount rate, not the business — the central risk. At a 9% base discount against a ~5.25% 10-year, even flawless execution is worth \$82. The whole waste sector is still priced for a bond regime that no longer exists.

Chiquita Canyon. A \$613M 2024 impairment, \$100–150M of 2026 FCF drag (stepping down 2027+), and a legal fight with LA County that escalated to an \$825M countersuit in August 2026. Quantified and shrinking — but a genuine tail until resolved.

Persistently negative volumes. Unit volumes were –1.7% in H1 2026; the price offset must hold indefinitely. A recession that kills pricing power would break the model.

PFAS and leachate regulation. The EPA updated interim PFAS guidance in April 2026; industry-wide treatment capex is coming. WCN's franchise pricing power aids pass-through, but the spend is real.

E&P cyclicity. 7.3% of revenue rides drilling activity; the RCRA exemption narrowing is a regulatory tail risk.

2 Business Overview — What the Company Is Doing

Waste Connections (founded 1997; legal HQ Woodbridge, Ontario; principal operating offices in The Woodlands, Texas) is the **third-largest solid-waste company in North America**, operating in 46 U.S. states and six Canadian provinces. It is an integrated collector–transporter–disposer: **371 collection operations, 164 owned transfer stations (+60 operated), 65 owned municipal solid-waste landfills (+12 operated)**, 90 recycling operations, 20 E&P waste landfills, 88 E&P injection wells, and 4 intermodal operations. Average remaining landfill life is ~31 years (34 including probable expansions); 52.6M tons were disposed in 2025. The company employs ~24,200 people (16% unionized).

The strategy, unchanged for two decades: (1) target **exclusive franchise and municipal arrangements in secondary and rural markets** the big two overlook; (2) **vertical integration** — internalize collected waste into owned landfills to capture the disposal margin; (3) a **decentralized operating structure** across six geographic segments, keeping pricing and operating decisions local; (4) niche adjacencies — E&P waste via R360 (Permian, Bakken, Eagle Ford + Canada), intermodal logistics in the Pacific Northwest, and RNG from landfill gas. CEO Ronald J. Mittelstaedt and CFO Mary Anne Whitney lead; ex-Fastenal CEO Daniel Florness joined the board in April 2026.

What the company is doing right now

Pushing price, not volume. Core pricing of 5.6–6.0% is the growth engine; volumes are allowed to drift while price and mix carry the P&L.

Buying tuck-ins relentlessly. 19 deals closed in 2025 (\$967M acquired revenue); >\$100M of annualized revenue added in H1 2026 with a strong pipeline cited.

Building the RNG platform. 15 pipeline-quality projects, over a dozen more in development, \$100M of 2025 capex — the Ridge opening in June 2026 was the first proof point; EBITDA contribution targeted from 2027.

Riding the E&P rebound. Oilfield-waste revenue grew 18% YoY in Q2 2026 as drilling activity recovered.

Returning record cash. \$614.5M of buybacks in H1 2026; the Board reviews the dividend each October (last raised +11.1%).

Driving operational productivity. A third consecutive year of declining employee turnover and safety incident rates through 2025, exiting at multi-year lows — a direct margin tailwind.

3 Product Evaluation & Pricing Models

WCN monetizes across nine product lines on five distinct pricing models — **contracted recurring fees, exclusive franchise tariffs, per-unit disposal pricing, commodity-linked revenue, and environmental-credit monetization**. The architecture is the business model: exclusive markets and owned landfills convert collection routes into annuities.

Product (FY25 revenue)	Pricing model	How it monetizes	Assessment
Commercial collection \$2.94 bn (31%)	Monthly fee per container size / pickup frequency; 1–5-yr contracts; CPI + fuel escalators	Recurring service contracts with price-escalation clauses; 'core price' 5.6–6.0% flows straight to EBITDA.	The profit engine. Oligopoly dynamics and switching costs give genuine pricing power — the strongest contracted line.
Residential collection \$2.37 bn (25%)	Exclusive franchise V municipal tariffs (7+ yrs, set rates); subscription V HOA fees	Exclusive franchise agreements with municipalities; rates set for the term with right of first refusal on renewal.	The moat line. Predictable, defensible, near-zero churn — franchise economics competitors cannot bid away mid-term.

Product (FY25 revenue)	Pricing model	How it monetizes	Assessment
Industrial V roll-off \$1.44 bn (15%)	Per-pull fee + \$ V ton tipping charge	Temporary containers billed per haul plus disposal tonnage at owned landfills.	Most cyclical — tied to construction. Margin-accretive on the landfill side; volume swings are the price.
Landfill disposal \$1.54 bn gross	Tipping fees per ton; special-waste premiums	Third-party haulers pay gate rates; internalized company waste is captured at cost. 31-yr average remaining life.	The crown jewel. Highest-margin line; airspace is a depleting, near-irreplaceable asset — pricing rises as regional capacity tightens.
Transfer stations \$1.46 bn gross	Per-ton transfer fee	Consolidates collection routes for long-haul to owned landfills; extends reach in markets without nearby disposal.	Density enabler. Turns distant landfills into local advantages — the vertical-integration plumbing.
Recycling V MRFs \$240 mn (3%)	Processing fees + commodity sales (OCC, metals)	Municipal processing contracts plus sale of sorted commodities.	Small and cyclical — a \$38M revenue drag in 2025 at commodity lows. Strategically defensive (franchise requirements), not a profit driver.
E&P waste (R360) \$689 mn (7.3%)	Per-barrel treatment V disposal; injection-well fees	Non-hazardous oilfield waste via 20 landfills, 88 injection wells, 36 treatment facilities.	Cyclical upside lever — +18% YoY in Q2 2026. Diversifies the mix but adds drilling-cycle beta.
Intermodal V other \$175 mn	Per-container rail logistics pricing	Pacific Northwest niche: containerized waste by rail to distant landfills.	Niche compounder. Small, stable, and synergistic with the density strategy.
RNG (emerging) ramping	RIN credits (~\$2.40) + pipeline gas sales	15 pipeline-quality projects + 12+ in development; Ridge Landfill opened Jun 2026.	The free option. 'Significant EBITDA by 2027' per management — pure margin on waste already collected.

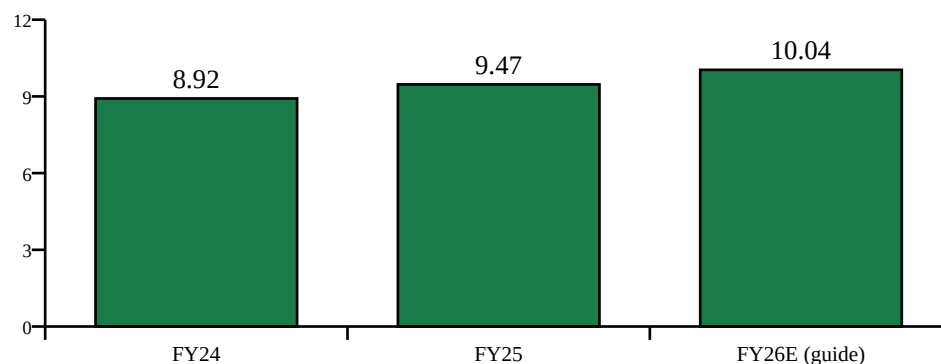
Net assessment: **roughly 56% of revenue sits in contracted or exclusive pricing** (commercial + residential), with the disposal assets converting that collection base into the industry's best margins. The pricing stack is incentive-aligned: escalators protect real returns, franchise terms protect tenure, and landfill scarcity protects the terminal value. The structural weakness is volume — the model assumes price can offset tonnage declines indefinitely, which a deep recession would test.

4 Financial Analysis

The P&L tells one story: **price-led compounding with expanding margins**. Revenue has compounded at 13.4% over ten years (10.8% over five); adjusted EBITDA margins have risen from 32.5% to 33.0% and are guided to 33.2%. Organic growth runs ~3–4% annually — core price of 5–6% minus 1–2 points of volume — with tuck-in M&A adding the rest.

\$ mn	FY24	FY25	H1'26	2026E (guide)
Revenue	8,920	9,467	4,932	10,035
YoY growth	+11.2%	+6.1%	—	+6.0%
Adjusted EBITDA	2,902	3,125	1,610	3,335
Adj. EBITDA margin	32.5%	33.0%	32.6%	33.2%
Net income	618	1,077	516	~1,171
Operating cash flow	2,229	2,414	—	~2,655
Adjusted FCF	1,218	~1,235	—	1,425
Acquired annualized revenue	~750	330	>100	—

Annual revenue (\$ bn) — the compounding record



The FY2025 revenue bridge (10-K) is the business in miniature: acquisitions +\$388M, core price +\$537M, surcharges –\$10M, volumes –\$238M, recycling –\$38M, FX –\$23M, divestitures –\$70M → +6.1%. **Price did the work; everything else was noise.** H1 2026 repeated the pattern: +5.8% core price, +4.6% yield, –1.7% volumes, +3.3% internal growth.

Margins and cash conversion

Adjusted EBITDA margin hit 33.0% in 2025 (+50 bps reported, +100 bps ex-commodities) and is guided to 33.2% — the best in the sector, earned through internalization gains (+0.4 pp in 2025), pricing, and productivity. Operating income reached \$1.71B (18.1%). Free-cash-flow conversion runs ~42–43% of EBITDA — superior to WM and RSG — funding both the tuck-in program and record capital return. Capex is ~\$1.25B in 2026 including ~\$100M of RNG investment.

Balance sheet and capital allocation

Net debt ~\$9.2B against \$3.34B of guided EBITDA = **2.75x leverage** — moderate and well below GFL's 3.9x. In August 2026 the company priced C\$700M of senior notes (4.20% due 2033; 4.55% due 2036) to term out revolver borrowings. The dividend (\$0.35/qtr, \$1.40 annualized, ~0.9% yield) has been raised every year since inception in 2010; the Board reviews it each October — watch for the announcement. 2025 set a record: \$839M returned (\$334M dividends + ~\$505M buybacks); H1 2026 added \$614.5M of repurchases, ~1.5% of shares.

Guidance (raised July 22, 2026): revenue \$10.02–10.05B (from \$9.90–9.95B), adjusted EBITDA \$3.33–3.34B (from \$3.30–3.325B), adjusted FCF \$1.40–1.45B (double-digit growth), net income \$1.169–1.173B (GAAP, lowered on non-cash items). The raise came with a Q2 beat — execution is intact.

5 Future Projections — Our Base-Case Model

Author's estimates. Assumptions: organic growth 3.5–4% (5–6% core price, flat-to-negative volumes), tuck-in M&A adding ~2–3 points annually, EBITDA margin expanding ~20–30 bps per year on internalization and productivity, RNG contributing 'significant EBITDA' from 2027, FCF growing 7–9% on operating leverage, ~1% annual share-count shrink from buybacks.

\$ bn	2026E	2027E	2028E	2029E	2030E
Revenue	10.04	10.69	11.38	12.07	12.73
Revenue growth	+6.0%	+6.5%	+6.5%	+6.0%	+5.5%
Adjusted EBITDA	3.34	3.57	3.84	4.10	4.35
EBITDA margin	33.2%	33.4%	33.7%	34.0%	34.2%
Adjusted FCF	1.43	1.55	1.67	1.80	1.92
FCF growth	—	+8.5%	+8.0%	+7.5%	+7.0%

\$ bn	2026E	2027E	2028E	2029E	2030E
Dividend / share	\$1.40	\$1.55	\$1.70	\$1.87	\$2.05

The 5-year path implies ~\$13B of cumulative adjusted FCF (2026–2030) — roughly one-third of today's enterprise value — available for M&A, buybacks, and dividends. The dividend trajectory assumes the 10-year ~13.7% CAGR moderates to ~10%. RNG is modeled conservatively (margin contribution only); any acceleration is upside to these numbers.

6 The Moat — Why This Business Is Defensible

Exclusive franchises. 7+ year exclusive municipal agreements with set rates and rights of first refusal — competitors cannot bid the business away mid-term, and incumbency wins most renewals.

Regional route density. In secondary markets, the densest route network wins: fewer deadhead miles, lower cost per stop, faster response. Density is self-reinforcing — each tuck-in acquisition thickens the moat.

Vertical integration. Collecting waste is a commodity; *disposing* of it at an owned landfill at marginal cost is the margin. Rising internalization directly lifted disposal costs by 0.4 pp in 2025.

Landfill scarcity. ~31 years of remaining airspace on average, and permitting a new MSW landfill in the U.S. is effectively impossible. Every year, regional capacity tightens and tipping fees rise — a structural, not cyclical, tailwind.

Decentralized pricing discipline. Six geographic segments with local P&L ownership have produced 5–6% core pricing year after year — the cultural asset competitors struggle to copy.

Switching costs and essentiality. Waste service is non-discretionary, health-regulated, and operationally embedded in customers' routines. Nobody shops their garbage hauler for a 3% saving.

Honest limits: the moat protects *pricing*, not *volume* — tonnage still drifts with the economy. And the moat is geographic, not technological: WM or RSG could enter a WCN market, but the returns on building density from scratch against an entrenched, vertically integrated incumbent rarely pencil out.

7 Competition

The U.S. solid-waste market is an oligopoly: WM and RSG hold ~40% combined; WCN is the clear #3. Each player has a distinct strategy — and WCN's exclusive-secondary-market focus is the most differentiated.

Company	2026E revenue	2026E EBITDA margin	EV / 2026E EBITDA	Positioning
Waste Connections (WCN) \$38.7 bn mkt cap	\$10.0 bn	33.2%	~14.5x	Exclusive franchises in secondary markets; best margins; M&A compounder; RNG kicker.
Waste Management (WM) \$82.4 bn mkt cap	\$26.4 bn	31.1%	~12.8x	The scale leader; \$7.2B Stericycle deal (Nov 2024) adds Healthcare Solutions. Lower multiple reflects integration + lower margins.
Republic Services (RSG) \$65.4 bn mkt cap	\$17.1 bn	32.2%	~14.4x	The closest comp on quality; #2 nationally; strong pricing (Q2 core price 5.7%).
GFL Environmental (GFL) \$15.4 bn mkt cap	~\$5.3 bn	30.5%	~13.4x	Levered turnaround: sold environmental services to Apollo/BC for ~\$8B (Mar 2025); 3.9x leverage; take-private interest. Special situation, not a comp.

Company	2026E revenue	2026E EBITDA margin	EV / 2026E EBITDA	Positioning
Casella (CWST) \$5.1 bn mkt cap	\$2.1 bn	22.8%	~13.5x	Northeast regional roll-up at ~23% margins. Lower quality, lower multiple — the 'what WCN used to look like' comp.

Read: WCN trades at a **modest premium to WM and in line with RSG** on EV/EBITDA — a premium fully earned by the highest margins, the strongest FCF conversion (~42%), and the cleanest balance sheet of the group. The premium is earned; the absolute level is not. At ~14.5x EBITDA the market still prices ~11.6% ten-year FCF growth — the old bond math. WM's discount is the Stericycle integration; GFL's is leverage and strategic uncertainty; Casella's GAAP P/E (~900x) is meaningless on near-zero net income.

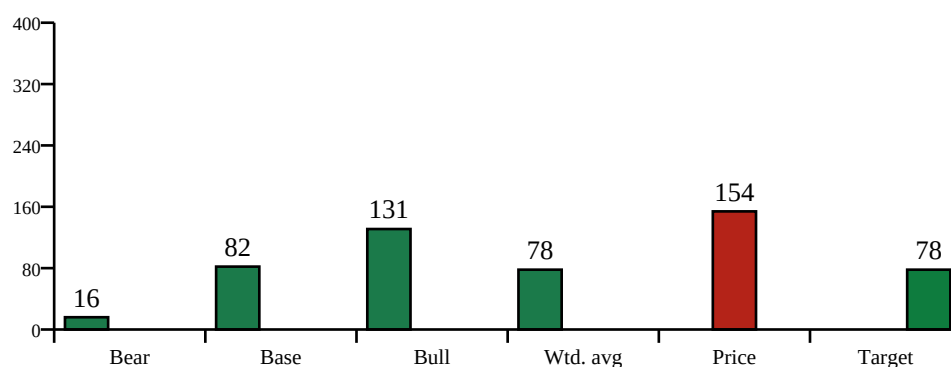
8 Valuation — Four Lenses to a Fair Price

Lens 1 — Scenario DCF (free-cash-flow based)

Ten-year explicit forecast off 2026E adjusted FCF of \$1.425B (guidance midpoint). The prior note's 6.25% WACC — built on a 4.3% risk-free rate — priced the equity like a utility bond; the hardened model prices it like an industrial: scenario-specific discounts of **11.5% bear / 9% base / 8% bull** against a ~5.25% 10-year, with terminal growth $\leq 2.25\%$ on normalized margins. Net debt \$9.2B; 251.6M shares.

Scenario	10-yr rev CAGR	Term. EBITDA margin	Discount / term g	Fair value
Bear — recession + regulation; volumes collapse, M&A stalls, PFAS capex bites	1.3%	31.0%	11.5% / 1.5%	\$16
Base — the machine keeps working: 4.77% CAGR, FCF doubles to \$2.68B by 2036	4.8%	34.0%	9.0% / 2.0%	\$82
Bull — RNG accelerates, E&P boom, M&A quickens	5.8%	35.0%	8.0% / 2.25%	\$131
Probability-weighted (25 / 50 / 25)				\$78

Scenario fair values vs. current price and target (\$)



Lens 2 — Reverse DCF: what is priced in?

At \$153.82 (EV ~\$47.9B), the market prices an **11.6% flat ten-year FCF CAGR** (9% discount, 2.0% terminal) — well above our base case's ~7% FCF path and between base and bull. The prior note's 3.7% read was the bond-math artifact of a 6.25% WACC. There is no pessimism left to correct here — only execution risk at a full price.

Lens 3 — Multiples

Multiple (EV ~\$47.9 bn)	TTM	2026E	2027E
EV / adjusted EBITDA	~15.3x	~14.5x	~13.4x
P / E	37.1x	~29–33x*	—
P / FCF	~31x	~27x	~25x

*Forward P/E range reflects GAAP guidance EPS (~\$4.65) vs. consensus adjusted bases (~\$5.2–\$5.3). Target cross-check: our **\$78 implies ~8x 2027E EBITDA (~\$3.59B)** — the multiple a 9% discount rate demands of a 5%-grower. The Street's 14–16x prints are the old bond math, not an error in our arithmetic.

Lens 4 — The Street

Consensus is **Moderate Buy** across ~20 analysts with an average target of **~\$201–202** (range \$182–\$218). Recent moves: UBS upgraded to Buy (\$200, Sep 18), Wolfe initiated at Outperform (\$204, Sep 15), TD Cowen Buy (\$210, Jul 24); JPMorgan trimmed to \$195 on valuation after the stock's earlier run. **No sells — the Street still prices the bond math. We are the dissent.**

Synthesis → \$78 target, SELL. The hardened probability-weighted DCF (\$78) sits –49.3% below the \$153.82 price. Even the bull case (\$131) is 15% below the quote — this is not a call on execution, which has been flawless; it is a call on the discount rate. The falsification, in writing: if the 10-year durably falls toward ~2.5%, the old bond-like math reasserts and this SELL is wrong.

9 Risks, Catalysts & Recommendation

Key risks

Chiquita Canyon ETLF. \$613M of 2024 impairments; \$100–150M of 2026 FCF drag stepping down from 2027; an \$825M countersuit against LA County filed August 2026 with EPA involvement expanding. The single largest known unknown — quantified, but unresolved.

PFAS V leachate regulation. EPA interim guidance (Apr 2026) points to industry-wide treatment capex; WCN is building foam-fractionation systems (Anson Landfill, NC online by YE2026). Franchise pricing power aids pass-through, but the spend is real.

Negative volumes. –1.7% in H1 2026; the model needs 5–6% pricing to hold indefinitely. A recession that breaks pricing discipline is the bear case.

E&P cyclicity. 7.3% of revenue tracks drilling activity; RCRA-exemption narrowing is a regulatory tail risk.

M&A dependence. The growth algorithm requires continuous tuck-ins; integration or valuation discipline slipping would show up slowly, then suddenly.

Labor. 16% unionized with 23 CBAs expiring in 2026 — offset by turnover and safety at multi-year lows.

Leverage is moderate, not light. 2.75x is comfortable, but rising rates reprice the \$9.2B debt stack over time.

Catalysts

Q3 2026 earnings (~Oct 28): the next proof point on price-led growth and the raised guide.

October dividend review: a 16th consecutive annual raise would extend the 13.7% 10-year CAGR narrative.

RNG project start-ups into 2027: each commissioning de-risks the 'significant EBITDA' guide.

Chiquita legal progress: any settlement or cost cap removes the largest overhang.

Continued buybacks: \$614.5M in H1 alone — ~1.5% of shares retired every half-year at this pace.

What changes the call

A **durable fall in the 10-year toward ~2.5%** reinstates the bond math and this SELL is wrong — we would revisit immediately. Conversely, two consecutive quarters of sub-3% core pricing, or Chiquita costs re-accelerating

beyond the guided \$100–150M, would confirm the bear case and argue \$78 is generous. RNG EBITDA landing ahead of plan in 2027 is not enough to change the call — the bull case already assumes it.

Recommendation

SELL, \$78 twelve-month price target (–49.3% downside), Medium risk. Waste Connections is the best-run operator in a recession-proof industry — and at \$153.82 you are paying bond prices for equity risk. The market prices an 11.6% ten-year FCF CAGR against a 5.25% 10-year; our base case, which assumes the machine keeps doing exactly what it has done for two decades, is worth \$82. The old note's 'multiple reset against a strengthening business' was the bond-math artifact — the reset was the rate regime changing, not a buying opportunity. Sell into the quality premium; revisit if the 10-year durably breaks toward 2.5%.

This note is research analysis, not investment advice. Estimates are the author's; figures sourced from company filings (10-K FY2025, SEC), earnings releases, and market data as of October 4, 2026. Valuation models: `~/workspace/wcn-research/wcn_valuation_v2.py`.